

Do You Need Bonds?

BONDS PLAY A crucial role in any portfolio. However, allocating to fixed-income assets can be trickier than allocating to stocks. I will skip the basics of interest rates, duration, credit risk, and creating ladders and instead focus on my experiences.

There are two good reasons to own bonds. First, they generate yield. That stream of income is very useful. Second, they can offset the volatility of equities. You can own bonds individually, through mutual funds, money market funds,^{[416](#)} or through ETFs.

In the “Get Good Financial Advice” chapter, I suggested that younger people in their 20s and 30s don’t need to own bonds. Some find that advice controversial, even with my caveat: *“Only if you could withstand the volatility.”*

The same applies to investors in their 40s and 50s. Bonds serve as an emotional relief valve, typically offsetting declining stocks. Owning bonds involves sacrificing some potential gains as equities rise in return for experiencing smaller drawdowns when they fall. This tradeoff was designed to prevent you from freaking out during the all-too-regular market spasms.

During the decade encompassing the 2010s, ultra-low interest rates led many traditional investors to reduce their bond exposure and increase their equity exposure. 70/30 became the new 60/40. Since yields were so low, equity positions would theoretically offset that. Stock gains did offset weaker bond yields, but at the cost of increased risk and portfolio volatility.

The same idea applies to modern longevity: If you are nearing retirement age, there is a reasonable chance you will live to your 80s or 90s. Therefore, it makes sense to have more stocks in your portfolio than, say, someone who retired in the 1960s or 1970s did.

The year 2022 was unusual in that both stocks and bonds declined by